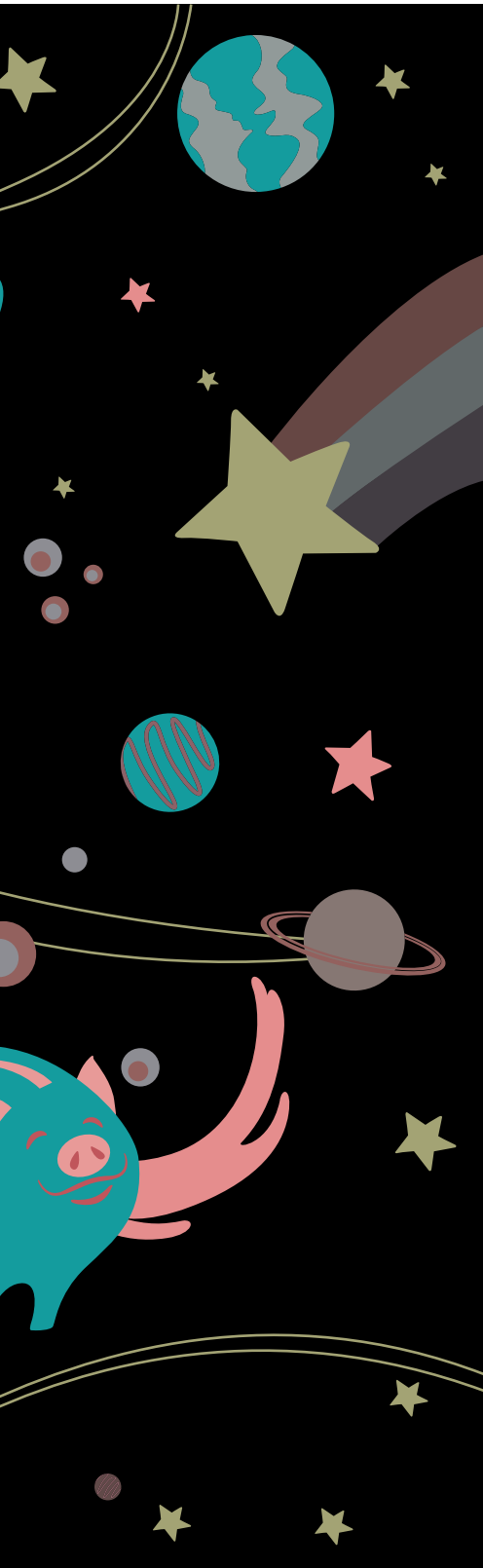


ILLUSTRATION BY RAJ VERMA



What happens here is that small firms—usually in need of short-term capital after delivering an order—struggle to secure funds to work on the next order. As a recourse, they sell their invoices to investors at a discount—on the various fintech platforms that have sprung up in the space—to meet their short-term financial needs. When the buyer against whom the invoice has been generated settles it, the borrower (small firm) repays the loan along with the accrued interest to the investors who had bought the invoice. This solution allows businesses to unlock the value of their outstanding invoices, access working capital, and improve cash flows through the fintech platforms, which charge a service fee.

Similarly, under asset leasing, retail investors pool funds to lease an asset to a company through a wealthtech firm. Assets are leased for predefined durations in return for regular rental payments. These can generate returns of 13-18 per cent over 24-48 months. This offers firms the opportunity to secure essential equipment without having to make a substantial upfront capital investment, making it an attractive option for businesses. For example, one can lease ATMs or electric vehi-

cles to payments solutions providers or ride-hailing apps, respectively.

At present, fintech players such as Grip and Tap Invest (formerly Leaf Round) offer these options to retail investors. What differentiates them is the manner in which they sell these products. Some offer them as securitised debt instruments (SDI) while others sell them as a single invoice or multiple invoices against the same company. SDIs are financial securities that represent ownership in a pool of underlying assets such as loans, leases, or receivables. These assets are typically bundled together and securitised, transforming them into tradeable securities that can be bought and sold in the financial markets.

“Grip offers asset leasing and invoice discounting via the SDI structure. The structure offered by the other companies is not regulated by Sebi (the Securities and Exchange Board of India). Raising capital or crowd-sourcing of investments for such structures (other than SDI) is not permitted under any Sebi regulation,” says Nikhil Aggarwal, Founder & CEO of Grip. He adds that unlike SDIs, other products are neither credit rated, nor listed, hence providing a suboptimal level of experience to users in terms of

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NEW AVENUES

► **Alternative investment products such as asset leasing and invoice discounting have gained popularity**

► **In asset leasing, retail investors contribute funds to lease an asset to a company through an alternative investment platform**

► **In invoice discounting, investors finance small entities by purchasing their invoice receivables at predetermined interest rates**

► **Securitised Debt Instruments are better as they are regulated and give investors exposure to a pool of invoices or assets**